

Dr Reddys Laboratories Ltd | DRREDDY | Healthcare

Dr. Reddy's Laboratories Ltd is a leading India-based pharmaceutical company which offers a portfolio of products and services, including Active Pharmaceutical Ingredients (APIs), Custom Pharmaceutical services (CPS), generics, biosimilars and differentiated formulations.

Key Performance Indicators

ROE %	ROCE %	NPM %	D/E	Rev CAGR 5yr	FCF (Cr)
19.74%	21.36%	19.91%	0.07	12.64%	509.0

Profit & Loss Summary (Rs. Crore)

Year	Sales	Op Profit	Net Profit	OPM%	EPS
2017-03	14196.0	2472.0	1292.0	17.0%	16.0
2018-03	14281.0	2351.0	947.0	16.0%	11.0
2019-03	15448.0	3178.0	1950.0	21.0%	23.0
2020-03	17517.0	2477.0	2026.0	14.0%	24.0
2021-03	19048.0	3874.0	1952.0	20.0%	23.0
2022-03	21545.0	3768.0	2182.0	17.0%	26.0
2023-03	24670.0	6470.0	4507.0	26.0%	54.0
2024-03	28011.0	7933.0	5578.0	28.0%	67.0

Key Ratios Trend

Year	ROE%	ROCE%	D/E	FCF(Cr)	Rev CAGR
2019-03	13.9%	11.44%	0.27	2101.0	2.86%
2020-03	12.99%	7.38%	0.14	2489.0	3.12%
2021-03	11.07%	12.8%	0.17	1315.0	4.12%
2022-03	11.36%	11.52%	0.18	246.0	8.7%
2023-03	19.35%	21.19%	0.06	1779.0	11.55%
2024-03	19.74%	21.36%	0.07	509.0	12.64%

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Balance Sheet Summary (Rs. Crore)

Year	Equity	Reserves	Borrowings	Total Assets
2019-03	83.0	13941.0	3838.0	22418.0
2020-03	83.0	15516.0	2210.0	23223.0
2021-03	83.0	17558.0	3031.0	26588.0
2022-03	83.0	19129.0	3384.0	29746.0
2023-03	83.0	23203.0	1347.0	32209.0
2024-03	83.0	28171.0	2002.0	38780.0

Cash Flow Statement (Rs. Crore)

Year	CFO	CFI	CFF	Net Cash
2022-03	2811.0	-2565.0	-242.0	3.0
2023-03	5888.0	-4109.0	-2686.0	-907.0
2024-03	4543.0	-4034.0	-376.0	133.0

Capital Allocation Pattern

Reinvestor

Strengths

- + Strong free cash flow generation over 5 years signals healthy business fundamentals
- + Operating profit margin above 25% indicates strong pricing power and cost discipline
- + Net profit compounding at above 20% over 5 years creates significant shareholder value
- + Very high interest coverage ratio reflects negligible financial stress from debt servicing

Concerns

- Limited financial history available for comprehensive analysis